IN THE NATIONAL COMPANY LAW TRIBUNAL

BENCH AT ALLAHABAD

COMPANY PETITION CP (CAA) NO. 19/ALD / 2021

Connected with

COMPANY APPLICATION CA (CAA) NO. 18 /ALD / 2021

(Under Sections 230 and 232 of the Companies Act, 2013)

In the matter of Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

And
IN THE MATTER OF AMALGAMATION OF

1. **SHREE HOLDINGS LIMITED**, a Company incorporated under the Companies Act, 1956 having its Registered Office at D-3 / A, Panki Industrial Estate, Kanpur-208022 (U.P.) having Corporate Identification Number U65923UP1983PLC006136 within the jurisdiction of this Tribunal.

Petitioner Transferor Company

WITH

2. **LOHIA CORP LIMITED**, a Company incorporated under the Companies Act, 1956 having its Registered Office at D-3 / A, Panki Industrial Estate, Kanpur-208022 (U.P.) having Corporate Identification Number U29263UP1981PLC005446 within the jurisdiction of this Tribunal.

Petitioner Transferee Company

Order Reserved On: 22.12.2021
Order Pronounced On: 24.01.2022

Coram:
Shri Rajasekhar V. K. : ***Member (Judicial)***
Shri Virendra Kumar Gupta : ***Member (Technical)***

Counsel on Record for the Applicant(s):

Sri S. K. Gupta, Practising Company Secretary

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ORDER

Per: Rajasekhar V. K., Member (Judicial)

1. The present Joint Company Petition is filed by Petitioner Companies under Sections 230 and 232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for sanction of Scheme of Amalgamation of Shree Holdings Limited **(Petitioner Transferor Company)** and Lohia Corp Limited **(Petitioner Transferee Company)** and their respective Shareholders and Creditors **(hereinafter referred to as "Scheme" or "Scheme of Amalgamation")**.

2. The Petition has now come up for final hearing. The Ld. Counsel for the Petitioner Companies submits as follows:-

(i) The proposed 'Scheme of Amalgamation' has previously been approved by the Board of Directors of the Petitioner Transferor Company and the Petitioner Transferee Company in their respective Board Meetings held on 9th August, 2021.

(ii) The factual position of the Authorized, Issued, Subscribed and Paid up Share Capital of the Petitioner Companies as on 31st March, 2021 is described in the present Company Petition.

(iii) The rationale of the proposed Scheme of Amalgamation is elaborately described in the present Company Petition which may be summarized as under:

(a) The Transferor Company is the Holding Company of the Transferee Company.

(b) The Transferor Company and the Transferee Company have common control, common management, common place of business and common group administration.

(c) The amalgamation will lead to emergence of a single entity with strong financial capability to effectively withstand competition, to effectuate economies of scale and to optimize benefits available under the law. The consolidated Company with far enlarged asset base, higher profitability and net worth will be better placed to access low cost fund for its expansion and diversification requirements.

(d) The amalgamation will result in significant reduction in the multiplicity of legal and regulatory compliances required at present to be carried by the Amalgamating Companies and will avoid duplication of administrative functions and eliminate multiple record keeping.

(e) The amalgamation will result in simplification and rationalization of the holding structure and reduction in corporate legal entities.

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3. The Petitioners have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards prescribed under Section 133 of the Companies Act, 2013 as certified by the Auditors of the Petitioner Companies.

4. It has also been stated in the Petition that no proceedings under Sections 235 to 251 of the Companies Act, 1956 or under Sections 210 to 226 of the Companies Act, 2013 are pending against any of the Petitioner Companies.

5. It has also been stated in the Petition that the Scheme is not prejudicial to the interest of the Shareholders and Creditors of the Petitioner Companies and the Petition is made bona-fide and is in the interest of all the Petitioner Companies and their respective Shareholders and Creditors as a whole and is just and equitable.

6. It has been stated that the Petitioner Transferee Company is a Subsidiary Company of the Petitioner Transferor Company, as such, the Petitioner Transferee Company shall issue and allot without any further application, act or deed and without any further payment, the Equity Shares to the Equity Shareholders of the Petitioner Transferor Company in the manner provided under Para No. 10 of the Scheme.

7. A perusal of the present Petition discloses that initially the Petitioner Companies had filed Company Application CA (CAA) No. 18 / ALD / 2021 seeking directions of this Tribunal to dispense with the requirement of convening meetings of Equity Shareholders of both the Petitioner Transferor Company and the Petitioner Transferee Company, Secured Creditors and Unsecured Creditors of the Petitioner Transferor Company and to direct the convening of the Meetings of both the Secured Creditors and Unsecured Creditors of the Petitioner Transferee Company. Accordingly, this Hon'ble Tribunal vide its Order dated 26th August, 2021, dispensed with the requirement of convening meetings of Equity Shareholders of both the Petitioner Transferor Company and the Petitioner Transferee Company and also the Meetings of the Secured Creditors and Unsecured Creditors of the Petitioner Transferor Company and further directed to convene the Meetings of both the Secured and Unsecured Creditors of the Petitioner Transferee Company on Saturday, the 9th October, 2021 at 11.30 A.M. and 1.00 P.M. respectively at the Head Office and Works of the Company at Lohia Industrial Complex, Chaubepur, Kanpur – 209203 (U.P.) for the purpose of considering and, if thought fit, approving, with or without modification(s), the Scheme of Amalgamation.

8. This Hon'ble Tribunal vide its Order dated 26th August, 2021 had appointed Mr. Rahul Agrawal, Advocate as the Chairperson and Ms. Aparna Trivedi, Advocate

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as the Alternate Chairperson of the Meeting including for any adjournment(s) thereof. Further, the Hon'ble Tribunal, had appointed Shri Ankit Kumar Singh, Practicing Company Secretary, as a Scrutinizer for the said meetings of the Secured and Unsecured Creditors of the Petitioner Transferee Company for conducting the postal ballot and poll process in a fair and transparent manner.

9. This Hon'ble Tribunal vide its Order dated 26th August, 2021 directed to issue notice of hearing in respect of present Company Petition to the Statutory Authorities and also to make paper publication in respect thereof in English Newspaper 'Business Standard' and Hindi Newspaper 'Rashtriya Sahara' having circulation in Kanpur where Registered office of the Petitioner Companies is situated.

10. Pursuant to the Order dated 26th August, 2021, the Petitioner Companies served notices upon the Regional Director (Northern Region) Ministry of Corporate Affairs, New Delhi, Registrar of Companies, Uttar Pradesh, Kanpur, Official Liquidator, Allahabad and the Income-Tax Department having jurisdiction over the Petitioner Companies and Affidavit of service of such notices was filed by the Authorised Representative of the Petitioner Transferee Company with this Tribunal on 30th September, 2021.

11. As per the directions of this Tribunal dated 26th August, 2021, the Notices of the Secured and Unsecured Creditors' Meetings of the Petitioner Transferee Company were dispatched from 4th September, 2021 to 8th September, 2021 by Speed post, Courier and e-mail to all the Secured and Unsecured Creditors of the 'Petitioner Transferee Company' with a copy of the 'Scheme of Amalgamation', the Explanatory Statement required under Sections 230 and 102 of the Companies Act, 2013 read with Rule 6 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, Form of Proxy and Postal Ballot Form. Further as required by the said Order, Notices of the Meetings of the Secured and Unsecured Creditors of the Petitioner Transferee Company were also advertised in Newspapers in 'Business Standard' (English) and 'Rashtriya Sahara' (Hindi) dated 6th September, 2021 and 7th September, 2021 respectively. The Affidavit of the Chairman appointed for the Meetings as to service of Notice of meetings upon the Secured and Unsecured Creditors of the Petitioner Transferee Company and publication thereof in newspapers was filed with this Tribunal on 30th September, 2021.

12. Further, as per the directions of this Tribunal dated 26th August, 2021, the Meetings of the Secured and Unsecured Creditors of the Petitioner Transferee Company were duly convened and held on 9th October, 2021 at 11.30 A.M. and 1.00 P.M. respectively at the Head office and Works of the Transferee Company at Lohia Industrial Complex, Chaubepur, Kanpur – 209203 (U.P.) and Mr. Rahul Agrawal, Advocate, Ms. Aparna Trivedi, Advocate and Mr. Ankit Kumar

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Singh, PCS acted as the Chairperson, Alternate Chairperson and Scrutinizer respectively for the said Meetings.

13. Subsequent to the Meetings of Secured and Unsecured Creditors of the Petitioner Transferee Company, the Chairperson of the Meetings submitted his reports supported with Affidavits with this Tribunal on 14th October, 2021 declaring that the Scheme has been approved by the Secured and Unsecured Creditors of the Petitioner Transferee Company with requisite majority.

14. The Petitioner Companies filed the Second Motion Petition being Company Petition No. CP (CAA) No. 19 / ALD / 2021 on 15th October, 2021. This Tribunal vide its Order dated 2nd November, 2021 directed the Petitioner Companies to serve notices of the Petition upon the Regional Director (Northern Region), Registrar of Companies, Uttar Pradesh, Kanpur, Official Liquidator, Allahabad, Income-Tax Authority and other Sectoral Regulatory Authorities for filing their representation and also directed to effect the paper publication in "Business Standard", in English and "Rashtriya Sahara", in Hindi Editions having circulation in Kanpur, Uttar Pradesh.

15. In compliance thereof, the Petitioner Companies on 21st December, 2021, filed Affidavit of service and publication, confirming that notices have been duly published in English Newspaper "Business Standard" and Hindi Newspaper "Rashtriya Sahara", having circulation in Kanpur. The Petitioner Companies have duly served notices to (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Kanpur; (c) the Official Liquidator, Allahabad; (d) the Income-Tax Departments having jurisdiction over the Petitioner Companies

16. In response to the above stated notice, the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi received a Report from the Registrar of Companies, Uttar Pradesh, Kanpur and filed its representation on 17th December, 2021 through an affidavit in Para 12 whereof it has made an observation with regard to Para 6.10 of the Scheme providing for operation of bank accounts of the Petitioner Transferor Company by the Petitioner Transferee Company till such time the name of the Petitioner Transferor Company are substituted with the Petitioner Transferee Company and stated that since after the Effective Date the identity of the Petitioner Transferor Company will come to an end, therefore, the Petitioner Transferor Company could not operate bank accounts in their name post Effective Date of the Scheme. The Petitioner Companies in their Reply Affidavit filed on 20th December, 2021 clarified that pursuant to Para 6.1, 6.2 and 6.3 of the Scheme, all the assets and properties of the Petitioner Transferor Company, whether movable or

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immovable including the bank balances shall stand transferred and vested in the Petitioner Transferee Company so as to become the assets and properties of the Petitioner Transferee Company from the Appointed Date, as such, the balances lying in the Bank Accounts of the Petitioner Transferor Company shall become the balances of the Petitioner Transferee Company. The said clause in the Scheme is intended to mitigate the transitional operational difficulties and ensuring smooth functioning of banking operations as an interim measure to facilitate the deposition of cheques and pay orders issued in the name of the Petitioner Transferor Company till the convergence of Petitioner Transferor Company bank accounts in the name of the Petitioner Transferee Company takes place in banking records. It is hereby confirmed that the banking operations of the Petitioner Transferee Company will continue to remain operational as usual as the Petitioner Transferee is not getting dissolved post sanction of the Scheme of Amalgamation. More so, the said provision in the Scheme would facilitate proper implementation of the Scheme to achieve its intended objective and is unlikely to affect the interest of any stakeholder of the Petitioner Companies.

17. In response to the above stated notice, the Official Liquidator, Ministry of Corporate Affairs, Allahabad, Uttar Pradesh has also submitted its report through a representation / affidavit, wherein it has stated that the Official Liquidator has no objection to the dissolution of the Petitioner Transferor Company without winding up pursuant to provisions of Sections 230 and 232 of the Companies Act, 2013 and other applicable sections and rules thereunder.

18. The counsel of the Income-Tax Department has filed its representation to the effect that the Income-Tax Department has no objection to the sanction of the proposed Scheme of Amalgamation.

19. We have gone through the reports of the Ld. Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, Ld. Registrar of Companies, Uttar Pradesh, Kanpur and Ld. Official Liquidator, Ministry of Corporate Affairs, Allahabad, Uttar Pradesh and the Reply Affidavit filed by the Petitioner Companies and after perusing the same, we find that there appears to be no reservation to grant sanction to the Scheme and we are of the view that the sanction of the present Scheme is not against public policy, nor it would be prejudicial to the public interest at large.

20. In addition to above, all the statutory compliance seems to have been complied with by the Petitioner Companies, therefore, the present Company Petition deserves to be allowed in terms of its Prayer clause.

21. In the result, the proposed Scheme of Amalgamation, which is annexed to the Company Petition stands approved and sanctioned. The Petitioner Companies

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are required to act upon as per terms and conditions of the sanctioned Scheme and the same shall be binding on all the Shareholders, Secured Creditors and Unsecured Creditors of the above named Petitioner Companies and also on the Petitioner Companies with effect from the Appointed Date i.e. 1st day of April, 2021.

22. While approving the Scheme as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty (if any, is applicable), taxes (including Income Tax, GST or any other charges, if any, are applicable) and payment in accordance with law or in respect to any permission / compliance with any other requirement which may be specifically required under any law. Also, the Petitioner Transferor Company shall stand dissolved without undergoing the process of winding up.

23. The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies, Uttar Pradesh, for registration.

24. All the concerned Regulatory Authorities to act on a copy of this order annexed with the Scheme duly authenticated by the Registrar, National Company Law Tribunal, Allahabad Bench.

25. Leave is granted to the Petitioners to file the Schedule of Assets.

26. Any person interested shall be at liberty to apply before this Tribunal in the above matter for such directions as may be necessary.

27. Accordingly, the present Company Petition bearing CP (CAA) No.19/ALD /2021 is allowed and stands disposed of.

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Rajasekhar V K

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Virendra Kumar Gupta
Member (Technical)

Rajasekhar V.K.
Member (Judicial)

Swati Gupta (LRA)